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COMPANY DEEP-DIVE

Business Unit GM at Beckman Coulter Sees Challenges in China's Diagnostics Market Amid Price Cuts and Competitive Pressures

DATE PUBLISHED	INTERVIEW DATE	EXPERT PERSPECTIVE	ANALYST PERSPECTIVE	PRIMARY COMPANY
20 Nov 2025	06 Nov 2025	Competitor	Investor-Led (Buy-Side)	QDEL

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SMART SUMMARY

Summary

The interview covers the impact of China's VBP policy on the IVD industry, the competitive positioning and challenges of Ortho and Quidel, and broader industry trends including innovation, market growth, and competitive threats from Chinese and multinational players. The expert provides detailed insights into product differentiation, market adaptation, and the outlook for key companies in the diagnostics space.

EXPERT BACKGROUND

- 18 years of experience in sales, marketing, product management, general business unit management, and R&D program management in life sciences and diagnostics, with global responsibility including China; holds a PhD in biomedical engineering focused on cancer diagnostics; extensive familiarity with Ortho and Quidel as competitors but has never worked for them.

EXPERT SENTIMENT

- **The expert is highly skeptical about the long-term prospects and differentiation of Ortho's and Quidel's product portfolios, particularly in China,** and doubts the sustainability of their current growth claims.
- **The expert views the Ortho business as fundamentally weak, with outdated technology and limited innovation,** and expresses little confidence in the company's ability to turn around or compete effectively against larger, more innovative players.
- The expert believes **the recent acquisition of Ortho was a defensive move by Quidel** and sees little synergy or growth potential in the combined business.

TAKEAWAYS

- **China's volume-based procurement (VBP) policy has led to drastic price cuts (often 50% or more) for IVD tests, severely impacting** margins for both domestic and international companies, and forcing the market to adapt with increased efficiency and cost consciousness.
- **Ortho's dry slide technology is seen as niche, with limited market appeal and significant reliability challenges, making it difficult** to compete with larger players focused on high-volume, fluid-based assays.
- **The Ortho business has struggled with a lack of innovation and product updates, resulting in a downward spiral of declining investment and market share**; the expert has not seen any major new platform launches from Ortho in nearly two decades.
- **Quidel's acquisition of Ortho is viewed as a questionable move**, with the businesses remaining largely separate and lacking clear synergies; the expert describes Ortho as a 'fixer-upper' with unresolved fundamental issues.
- The IVD industry is expected to grow at a mid single-digit rate globally, with immunoassay and molecular diagnostics as higher-growth segments, but **competition is intense**, especially from Chinese companies like Mindray and established multinationals such as Roche and Danaher.

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Table of Contents

Expert Bio

Business Unit General Manager at Beckman Coulter. The expert is very familiar with the Chinese market and can discuss how in vitro diagnostic testing companies will navigate the regulations. Business Unit General Manager at Beckman Coulter. The expert is responsible for the product portfolio and leads the United States commercial team, with active involvement in business unit leadership. Their direct team includes clinical specialists, laboratory specialists, and portfolio experts, working to create and execute strategies to drive revenue growth and market share gains. The expert can speak to every in vitro diagnostics (IVD) player and has nearly two decades of experience in the IVD field. They are familiar with many industry trends, including centralization, artificial intelligence (AI), regulatory changes, and lab automation, among many others. The expert is a key decision-maker in purchasing solutions related to these areas and can consult on their implementation and strategic implications.

Interview Transcript

Client 00:00:00

Thank you for taking the time to speak with me today about QuidelOrtho. To start off, could you please give us a quick overview of your background and experience in this space?

Expert 00:00:10

Okay. I've worked for Beckman Coulter for 18 years in wide variety of capacities in sales, marketing, product management, general business unit management, R&D program management, both in life science and diagnostics. I have a PhD in biomedical engineering, which is focused on cancer diagnostics. I'm familiar with Ortho because they've been in my space pretty much my whole career, Quidel, Ortho, both the separate companies and together. I'm very familiar with them, separate companies, and then throughout the acquisition. I've never been part of either company, but Ortho, frankly, had interviewed me on a few occasions for various roles, which I never took.

Client 00:00:49

That's good to know. It sounds like you're more familiar on the Ortho side, which they acquired three or four years ago, and maybe a little less so on the old Alere or diagnostic or lab testing side.

Expert 00:01:01

Yes. I've spent most of my career in the core lab versus the POC space, so I'm somewhat familiar with Alere and Quidel, but not as familiar as Ortho.

Client 00:01:12

Great. I know our screening questions were about China and risk versus opportunity is still at the top of my mind, but you have such a good background here that pardon me if I jump around a little bit and try to get a broader perspective as well.

Expert 00:01:26

I know a lot about China too because I've had global responsibility, VBP, and the impact on the diagnostics industry. I was just in China twice in the past month.

Client 00:01:36

Great. I'm not familiar at all with how China works. Is it procurement done by the government, or do they also sell to private hospitals and stuff? How does the whole thing work there?

Expert 00:01:47

No. The government does not buy directly, but they set the prices for the market. The hospitals make their own purchasing decisions, but the government states at which prices the test will be bought for the public hospitals. It's great market control.

Client 00:02:01

Yeah. Once the government sets the price on a certain test at a certain level, all the buyers, hospital labs, everybody gets that test at that price?

Expert 00:02:11
Yes. You're not allowed to sell at any higher price, and that's **what's giving all the IVD companies such terrible difficulty**. If you listen to any of the earnings calls, they talk about their business ex China because **the China business has been extremely challenging**.

Client 00:02:26
Right. What drove this whole VBP thing? When did this come about? Price cuts, over what period did most companies experience?

Expert 00:02:35
They've done it in phases. I actually would have to verify this, but it was volume-based procurement, and it's based on the number of tests that the government would buy. Just to back up, I don't have first-hand knowledge of this, but what I've heard is that the Chinese government had actually contracted, I think, McKinsey, to look at how much it was spending on healthcare and testing in particular.

They realized that in China, they were paying extremely high prices for all tests. The Chinese government, not the free market, they decided they were going to fix that problem, and they announced this policy. I think the initial thing started in 2021 when they started to put this pricing policy on certain tests, and then, over time, they announced more and more tests.

In 2023, they really expanded to a lot of what we would call the immunoassay and clinical chemistry. I think where probably you started to really see impacts for Roche and Abbott and Ortho and Siemens and Beckman Coulter, frankly, is once it started hitting some of these immunoassay tests that are very high dollar value and big revenue drivers because they're just high volume.

Previously, **all the Western players were able to get excellent margins in China**, but then the government essentially was looking at what other governments are paying and realized they were paying too much, and came and changed it. It's actually not unlike what Trump's trying to do with drug prices in the United States, except that the Chinese government has a lot more power over the Chinese market.

Client 00:04:04
Yeah. They can just issue a decree. **What pricing compression** has resulted in from 2021 to date? Are we talking about 5%-10% type price cuts?

Expert 00:04:16
No. A TSH test, a thyroid-stimulating hormone, pre-VBP, was around ¥eight, and post-VBP, is ¥two, so massive, massive, price cut drops. It's a massive profitability impact. It's not marginal. It varies by test because, as I said, it's multiples.

Client 00:04:35
Yeah. How are these companies even dealing with that? I don't know if you had P&L responsibility as a general manager. How would you even break even if your reimbursement is going from ¥eight to ¥two? That's a 75% rev cut. How are companies dealing with that? Are some of them just pulling out or cutting costs? What's happening to margins there?

Expert 00:04:59
That's an open question. I think that **it's difficult for all companies**. Can't divulge exactly what we're attempting to do, but I think that **it's extremely difficult situation for companies, and it's even difficult for companies in China**. If you look at the domestic players, **they're also being hammered by this because they're also experiencing thin margins**. What it means is the winners in China are going to have to be extremely efficient, extremely cost-conscious, and there's going to be a different set of winners and losers. In order to survive, you're going to have to adapt. That's what it means.

Client 00:05:33
Right. Now, that TSH test you mentioned, that might be an extreme example. If you look across the portfolio of a company like Ortho or Roche or Abbott or anybody, what range would you say the average price cut across their portfolio has been?

Expert 00:05:49
I think it's at least a 50% reduction. I think **the average would be a 50% drop in reimbursement**. That would be my guess. I'm spitballing just to let you know. I don't know off the top off my head.

Client 00:06:00
Appreciate that. Is this now done? Has this played out? What innings are we in this whole thing?

Expert 00:06:06
I think the policy is done. I don't know that they are going to announce any further. I don't think there are any more assays to add this policy to. I think pretty much **every test in IVD has been impacted**. I don't think they can expand it, and I don't think they're going to drive the pricing down, but now the market's adapting, so it's going to take a few years for everything to shake out. I think at Mindray, Mindray is a local China player, **their revenue had dropped considerably**, over 12%, and it's all largely due to this. Previously, **they've been growing double digits**.

I think if you look, it's going to take several years for the market to readjust, and then a lot of the local Chinese players are pretty much going to go out of business because **they're not going to be able to survive**. I don't know how long it's going to take for the market to reach a new equilibrium. As you asked me previously, I don't think anybody has a winning strategy yet. It takes time in this industry for people to adapt to a big market change like that. It's going to take time for people to figure out exactly how to survive, I should say.

Client 00:07:09
Yeah. One of the things that was very interesting was Quidel, on their calls, they were asked, how come they were still growing in China when others are facing cuts and reduced revenue, reduced margins, but Quidel basically kept growing through that. Their answer was their product is somehow differentiated versus others are more competitive. Do you buy that? How is their product portfolio in China differentiated versus others, and does that give them any sort of protection versus this VBP and other pricing mechanisms?

Expert 00:07:39
I certainly don't believe that to be true on the Ortho side at all because it doesn't really matter. I know that the dry chemistry is not differentiated in the way that they would argue why would they be winning in China. For the POC solution, I don't know enough, again, about the Quidel products, but generally, I don't want to say it's luck, but I would think that **they're going to be under pressure** knowing what I know about the Chinese market. I don't think it's going to be a sustainable win would be my guess, especially knowing what I know about this company in other markets.

Client 00:08:09
Yeah. That was what have been my take as well. I tend to agree with you. You mentioned the dry slide thing. They're saying the dry side of technology is differentiated or doesn't require water or systems plumbing, so it's ideal for county hospitals or smaller hospitals, and so they continue to receive preferential pricing because there's just a couple of companies that have invested the CapEx and have the know-how to produce dry slide tests. Is that true?

Expert 00:08:38
Yes. The dry slide technology is unique, and it would be useful in labs that have limited infrastructure that have water systems, etc. Some of that may be true in certain areas of China, but those labs would be the labs with the lowest budgets. That's why I think that **it might be difficult to have** a sustainable business that way because they're going to be the most cost-conscious labs. Even if they got preferential pricing, I don't see it being sustainable over a very long period of time.

Client 00:09:05
Yeah. Why is anybody else not in? Is it just an overlooked space? Is there some kind of, you think, patent IP protection here? Why aren't others also in the dry slide space?

Expert 00:09:16
It's been around for I don't know how long. Ortho spun out of Kodak. It's been around for 30 years and it hasn't taken over the market. Ortho's been in last place in the clinical chemistry immunoassay market for some time. I think **it's been hard** for them to expand the menu they have with that technology.

There are **a lot of mechanical challenges and reliability challenges versus doing it in a fluid**. If you're doing assay in a fluid, you don't have to worry about a slide. Working with slides, **inherently a reliability challenge**. When you're working with these ultra-high volume spaces, reliability, they're super important. I think that it's interesting, and there are probably some niche applications. You actually just pointed out one area where it can be useful, but it's not the meat of the market where Abbott, Roche, Siemens, and Beckman Coulter play.

Client 00:10:05
Yeah. That may be the reason why they're not in this space, because it's just not big enough for them.

Expert 00:10:11
Yeah. It's seen as a niche. It's not worth going into. Ortho has been sold now, I think, three times. Honestly, the word on the street is it's up for splitting up again.

Client 00:10:22
Wow. The acquisition didn't really work out as they had planned. It doesn't seem to have grown at all. In fact, **it even seems to have shrunk** a little bit. If you look at the numbers they had promised back in 2021 when they acquired this thing and what they just reported including today, **their stock's down 10%** today. What do **you think is the other challenges with Quidel** as a whole, and maybe more so, Ortho?

Expert 00:10:48
We touched on it a little bit already. As I said, I'm not fully familiar with Quidel earlier. They're dealing with two completely different market areas, two totally different levels of complexity, and two totally different levels of capital expenditure and R&D expenditure in terms of new product development.

The ultimate problem with the Ortho portfolio is that it's never really been updated. As I said, **the dry slide technology is limited in its expansion of menu,** and it's never done well enough that they've been able to create the total workflow solutions that the other major IVD players have. It is in this spiral of fewer people buy it, there's less investment in it, it gets older so fewer people buy it, there's less investment in it, etc.

Client 00:11:33
Yeah. Anything on the horizon from them that would change that? I know they talked up the SAVANNA platform earlier and then they just went and killed it. It didn't really work out. Now they're talking about this LEX molecular opportunity. You have any idea there or that's outside your expertise?

Expert 00:11:49
As I told you, I interviewed with them a couple times over the past 18 years and I never chose to join them because I've never really seen them come out with anything. As long as I've been in the industry, I haven't seen them release a major new platform. They've done refreshes and slight updates, but **I'm highly dubious** that they have the technical capabilities remaining to execute an ambitious product development. Like I said, I think the Alere people probably have a different skill set compared to the high-volume space, which is where Ortho plays. Designing a POC device is very different than designing a core lab device, as you can imagine.

Client 00:12:24
For sure. Who are **the exciting companies in this space** that are innovative and coming out with the new platforms and things that you might interview and want to work for? Is it the Roches, the Abbotts? Who are the players that you think will grow in future?

Expert 00:12:37
I think Roche will continue to grow. They invest heavily. I think they are investing something like 13% in R&D, and they're going to continue to do so, and they'll continue to be number one. **They're also willing to accept lower margins than Danaher**. I have been with Danaher for 18 years. I believe in the Danaher business system and our ability to execute. We're going to be aggressive and find ways to win. We've come out with some new products, and I know that we will be innovative in how we go at the market, so I like Danaher.

Abbott, I think, has done okay. **They've had some missteps with the Alinity in my point of view**, the Alinity hematology. I think they're probably going to pull out of the market. **The Alinity ci-series has been successful**, but they've also driven some customers away. I would say **Abbott's outlook is probably worse than Roche or Danaher in my personal point of view**. Siemens, I think, is a sick puppy. They're up for sale, and they have been forever. Ortho is also dying.

I think the three healthiest companies are Roche, Beckman, Danaher, Danaher overall because Danaher has a pretty big portfolio outside of Beckman as well as Abbott. Mindray is an extremely up-and-coming company, and I think **they're very dangerous for everybody**. **They're probably the most dangerous company in the space or most competitive company**.

I think **Sysmex is probably going to struggle** to grow. I think that they're trying to expand outside their core discipline and **it's difficult for them**. It's hard for them. They've done so well in hematology and they're trying to grow in other areas, but **it's not as robust** as they would like. They're also going up against these other multinationals in hematology. They had an easier time, frankly, because every other player had stumbled. In the new discipline that Sysmex is going into, **the competition is a lot stiffer**.

Werfen is a big hemostasis player. It's privately held, so you can't really invest in it. I think that they have undergone a change in leadership with the passing to the next generation, and there are some questions about their overall strategic direction. Mindray, Abbott, Danaher, Roche, I think **those are probably the four biggest, healthiest companies with the most opportunities** to grow overall.

Client 00:14:47

That makes sense. Also, like you said, just the sheer R&D spend at Roche, for example, is many times what a Quidel is spending.

Expert 00:14:55

Yeah. It's expensive. That equipment is expensive and complicated to develop and it's a heavily regulated market, so you have to factor in plus plus on any development project of a lot of overhead. It can't be done on a shoestring.

Client 00:15:09

Right. Now, you briefly mentioned what Trump is doing on the pharmaceutical drug price front. Could something like that also happen here in the U.S. on these tests where you see a step-down function maybe over a couple of years or something in pricing for these tests, whether it's on the Quidel side or the Ortho side?

Expert 00:15:27

I haven't yet seen the government really take a look at IVD. IVD in the U.S. is a pretty small portion of our overall healthcare spend. I forget the statistic. It's like single-digit portion of the overall healthcare spend, but it influences something like 60%, 70% of all decisions, so it's definitely not in the top target for the government. **The government impacts the industry in other ways**. **All the action at the FDA really has an impact** on what products get approved and cleared and the clearance timelines. **The schizophrenia there has a real impact on the cost and timeline** to bring products to market.

Foreign policy really would impact people like Mindrays access to the U.S. market. Chinese companies trying to access **the U.S. market is going to be extremely difficult**. I don't think pricing is the lever, but there are certainly government policies that will play a role in the U.S. market for sure.

Client 00:16:20

Got it. **It's not viewed as something as crazily** priced as some of these drugs and stuff at all. This Mindray that you mentioned a couple of times, this is a Chinese company or where is it located?

Expert 00:16:31

Yes. They're a publicly traded Chinese company.

Client 00:16:34

Got it. I will look that one up. **They have a meaningful market share in this whole space** now?

Expert 00:16:39

Yeah. I think that the Chinese companies generally have a cost structure **that is going to be extremely difficult to beat,** and they benefit from favorable governmental policies. If you went to any of our trade shows, everybody in the industry is afraid of the Chinese.

Client 00:16:54

Yeah. Now, is there any tariff protection here from the Chinese just making deep inroads into the U.S.?

Expert 00:17:00

Of course. That's one of the government policies that will impact trade. There's also the TAA. The U.S. government won't buy goods for VA hospitals and DoD that are made in China. There are a number of barriers for the Chinese entering the U.S., but the U.S. is only 1/3 of the globe. Europe just passed a law that banned Chinese companies from being awarded contracts that are over €five million in the IVD space or any medical device actually. There are a lot of governments that are trying to put up barriers for the Chinese because I think **they see the threat** that's coming.

Client 00:17:36
Interesting. This whole space, does it grow organically? The innovators will lead and the new products will take share and **maybe older ones like Ortho might shrink** a little bit, but when you look at the space as a whole, what is the growth rate that is typically expected? Is it low single-digit or higher?

Expert 00:17:53
The IVD industry, overall, I think, is probably mid single-digit. The biggest drivers are the immunoassay space. There's a lot of hype or promise around companion diagnostics, new diagnostics for Alzheimer's treatment, diagnostics expansion, and testing, and so **the emerging markets is growing** quickly as they get Western-style healthcare in those markets, and the aging population overall drives healthcare costs. It's a pretty mature market in many parts of the world, so that's a countervailing force. It's mid single-digits overall if you took all the disciplines together.

Client 00:18:28
That mid single-digit, are you talking about globally or in the U.S.?

Expert 00:18:32
Yeah. It varies by discipline. Hematology and urinalysis is lower. Immunoassay is higher. Clinical chemistry is low. **Molecular diagnostics is a much higher growth rate**.

Client 00:18:44
Yeah. Speaking of molecular diagnostics, do you have any sense of, they're talking about this LEX acquisition that they're making in the U.K.? Is that something that sounds exciting to you because of the much higher growth rate, or that's something that won't work out?

Expert 00:18:59
Ortho is acquiring a molecular company or Quidel?

Client 00:19:02
Yeah. Quidel as a whole is acquiring this LEX in the U.K. It's a small outfit. They have something before the FDA for approval, and the acquisition, I think, is contingent upon getting that FDA approval. If they do, then they are talking about the molecular being their best growth opportunity. It doesn't seem big at this point.

Expert 00:19:24
Yeah. Flu A, Flu B, and COVID-19. That's going to run right into Danaher's business, which is Cepheid, if you're familiar with Cepheid, which is one of our portfolio companies. We're the industry leader, and frankly, that's gotten to be a lot more competitive. **Cepheid is the industry leader because of the workflow and their full automation now**. I don't know. I haven't actually spent any time looking at the LEX Diagnostics portfolio.

The reason **Cepheid wins is because of the overall instrumentation design and the scalability and the ease of use**. It's not necessarily because it's just a PCR. I don't know if they have a high-volume solution. I just see on their website a small volume. This looks like more of a Quidel play than a core lab play for them. Again, I think it's entering a very highly competitive space.

It can. Infectious disease, Flu A, Flu B, COVID testing is a big deal, but it's an extremely competitive space. Mindray, all the Chinese companies I just mentioned are in the space, we're in the space, Roche is in this space. I think that it's just a very competitive space. I don't know enough about this particular device to say how differentiated it is. It's a very fast-growing market, but it's highly competitive.

Client 00:20:41
Yeah. Sounds like everybody's in it. It's maybe getting commoditized there.

Expert 00:20:46
Yeah. I don't know about commoditized, but just competitive. It's like cell phones.

Client 00:20:51
Okay. Any views on the whole management and sales team at Quidel? I'm trying to build a bull story here. Seems to be this company **that doesn't really have great growth opportunities outside of LEX maybe, and even that will take a while, and it's small and it's going to be competitive**. Any other drivers there I should be aware of? How do you view the whole management team and sales team at Quidel?

Expert 00:21:14
From a sales perspective, we hardly ever see them in the core. The Ortho sales team, I don't want to say they've given up, but we hardly ever encounter them out there in the field, so I find **them to be pretty weak**. I don't know about in the Quidel space. I don't know enough about their management to comment. I haven't been paying attention.

Client 00:21:33
Fair enough. Nothing greatly exciting on the Ortho side in terms of product development or new introduction that turns things around that you're aware of?

Expert 00:21:42
No. I would not invest money in them if I were. That's what I would tell you. That's just me.

Client 00:21:48
Yeah. The R&D budget and everything just shows and their own comments on the call also bear that out. That's all I had, unless there's something you think I should also be asking as far as QuidelOrtho goes.

Expert 00:22:00
There's another recent acquisition space, although it's a head scratcher to me. I don't know if you know, Waters bought the BD diagnostics and life science business, and it seems like another acquisition where it doesn't line up. Sometimes, these acquisitions, you scratch your head. I know that the Ortho business is up for sale for many, many years, and from Carlyle Group. I don't know what motivated Quidel to ultimately buy it. I don't know if it's the same management team that's there today or not, but that would be a question for me on the competency of the management. Who made the decision to do this acquisition?

Client 00:22:34
Yeah. They could see **their COVID revenue just falling off a cliff**. That's why they did it. They needed something, a very defensive move. Is this something that maybe over time could pan out in the sense that sometimes these things can take a long time to integrate, or is it just that these are two separate, disparate businesses **that don't really have synergies**?

Expert 00:22:55
I think they're separate businesses, and I think Ortho, as I alluded to, is a sick puppy **that had fundamental problems** that have never been corrected.

Client 00:23:04
Yeah. That's the sense I'm getting.

Expert 00:23:07
They bought a fixer-upper.

Client 00:23:08
Perfect. Thank you for your time. This was very helpful.